

GRAND MOCK TEST: FULL ANSWER KEY

ENTREPRENEURSHIP (CLASS 12) - COMPLETE 50 SOLUTIONS

SECTION A: 1-MARK MCQS

1. (b) Natural Resource-based

Reason: Rainwater is a natural resource. Subir used a creative method to harvest it.

2. (c) Skimming

Reason: Setting a high initial price to recover costs quickly is "Skimming the cream".

3. (b) Horizontal

Reason: A merger between companies in the same industry/stage (like two car manufacturers) is Horizontal. (Note: A merger between supplier and manufacturer is Vertical).

4. (b) Hostile

Reason: When management opposes the deal and the acquirer buys shares directly from the market/shareholders, it is Hostile.

5. (c) Private Placement

Reason: Issuing shares to a select group of friends or institutions instead of the public is Private Placement.

6. (a) Cash + Debtors + Stock + Other Current Assets

Reason: Gross Working Capital is the sum of all Current Assets.

7. (d) Price Tag

Reason: A Brand consists of Brand Name, Brand Mark, and Trade Mark. A Price Tag is not a component.

8. (b) Advertising (ATL)

Reason: Above-the-Line (ATL) uses mass media like TV/Radio to reach a large audience. Below-the-Line (BTL) is targeted.

9. (b) Angel Investor

Reason: Angel investors are affluent individuals who provide capital and mentorship.

10. (b) High value, Low volume

Reason: In ABC analysis, 'A' items are the most expensive (High value) but usually fewer in number (Low volume).

11. (a) 350/36

Reason: Unit Price = Total Billed Amount / Number of Customers.

12. (b) Ordering Cost

Reason: In the EOQ formula, 'O' stands for Ordering Cost per order.

13. (a) (Net Profit / Total Investment) x 100

Reason: ROI measures the return (profit) on the money invested.

14. (b) Talk Trends

Reason: Talking to customers to understand their needs is "Talk Trends".

15. (a) Executive Summary (or General Introduction)

Reason: The title page providing a brief summary is often the Executive Summary or General Introduction.

SECTION B: 2 & 3 MARK ANSWERS

16. Trend Spotting:

- **Read Trends:** Reading publications, journals, and articles to understand market direction.
 - **Watch Trends:** Observing customers in the marketplace, spending time where target customers hang out to see what they buy.
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17. Innovation:

- **Definition:** Innovation is the process of introducing a new idea or method.
 - **Elements:** Analytical planning, resource organization, implementation, and commercial application.
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18. Partnership Features:

- **Implied Authority:** An act of a partner done to carry on the business binds the firm.
 - **Mutual Agency:** Business can be carried on by all or any one of them acting for all. Every partner is both an agent and a principal.
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19. Problem Identification:

- Helps in understanding the pain points of the customer.
 - Helps in generating business ideas that solve specific problems (e.g., laundry service for students).
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20. Product Mix & Trademark:

- **Component:** Branding (Brand Name) helps differentiate products.
 - **Trademark:** A brand name registered under the Act, giving legal protection against use by others.
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21. Operational Plan:

- **(i) Routing:** Determining the exact path or route the work will follow.
 - **(ii) Scheduling:** Fixing the time and date for starting and completing each operation.
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22. Advantages of Franchising to Franchisor:

- **Expansion Risk:** Allows expansion with limited capital and risk (franchisee invests).
 - **Cost Advantages:** Operations are handled by the franchisee, reducing central costs.
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23. Distribution Channels (Market Factors):

- **Number of Buyers:** If buyers are few, direct selling is better. If many, intermediaries are needed.
 - **Types of Buyers:** Industrial buyers prefer direct channels; general consumers prefer retailers.
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24. Business Plan as Decision Tool:

- It helps in assessing the feasibility of the venture.
 - It assists in identifying necessary resources and potential risks before investing.
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25. Creative Process:

Idea Germination, Preparation, Incubation, Illumination, and Verification.

26. EOQ Calculation:

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D = 40,000, O = 100, C = 2
EOQ = sqrt((2 * 40,000 * 100) / 2)
EOQ = sqrt(4,000,000)
EOQ = 2,000 units
```

27. Gross Working Capital:

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Formula: Total Current Assets
Calculation: 20,000 (Cash) + 2,00,000 (Debtors) + 80,000 (Stock)
Result: ₹ 3,00,000
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28. Return on Equity (ROE):

Formula: $(\text{Net Profit} / \text{Equity}) * 100$

Calculation: $(50,000 / 2,00,000) * 100$

Result: 25%

29. Manpower Plan:

This component details the number of people required (Human Resources) and their necessary skills/recruitments.

30. ATL vs BTL:

- **ATL (Above-the-Line):** Mass media (TV, Radio), targets wide audience, establishes brand identity.
- **BTL (Below-the-Line):** Direct marketing, pamphlets, demos, targets specific small groups.

31. PESTEL (Plastic Bags):

- **Ecological:** Environmental concern (pollution).
- **Legal:** Ban implies a law/regulation.

32. Idea Fields:

- **Natural Resource:** Ideas from wood, water, soil (e.g., Rainwater harvesting).
- **Market-driven:** Ideas based on customer needs/demand (e.g., N95 masks during pandemic).

33. Franchise Agreement Ingredients:

Contract explanation, Operations manual, Proprietary statements, Ongoing site maintenance.

34. Angel Investors Features:

- Invest their own money.
- Provide mentorship/guidance.
- Take high risks in early-stage startups.

35. Cash Conversion Cycle (CCC):

- The time it takes to convert raw materials into cash flows.
- **Nature of business:** Manufacturing has a longer CCC than trading/service businesses due to processing time.

SECTION C: 5-MARK SOLUTIONS

36. NUMERICAL: Break-Even Point (Sales Mix)

Step 1: Calculate Contribution Margin (CM) per unit (SP - VC)

- Scrub: $155 - 75 = 80$
- Gel: $175 - 95 = 80$
- Foam: $195 - 105 = 90$

Step 2: Weighted Average CM

$$(80 * 0.40) + (80 * 0.30) + (90 * 0.30) \\ = 32 + 24 + 27 = 83$$

Step 3: BEP in Units

$$\text{Fixed Cost} / \text{Weighted Avg CM} = 2,49,000 / 83 = 3,000 \text{ units}$$

Step 4: BEP in Rupees (Total Sales)

$$\text{Weighted Avg SP: } (155*0.4)+(175*0.3)+(195*0.3) = 62 + 52.5 + 58.5 = 173 \\ \text{BEP Rupees} = 3,000 \text{ units} * 173 = ₹ 5,19,000$$

37. Venture Capital Stages:

- **Seed Capital:** Low-level financing for proving the idea (prototype).
- **Start-up:** Funding for product development and initial marketing.
- **Second-Round:** Funding for expansion of a company that is already selling but not yet profitable.

38. Mergers & Acquisitions:

- **Synergy:** The concept that the combined value of two companies is greater than the sum of their individual values ($2+2=5$).
- **Horizontal:** Merger between direct competitors (e.g., Pepsi and Coke).
- **Vertical:** Merger between companies in the same supply chain (e.g., Car maker buying Tire maker).
- **Friendly vs Hostile:** Friendly is agreed upon by management; Hostile is forced against management's wish.

39. Pricing Strategies (Skimming):

- **(a) Skimming:** Setting a high price initially for a unique product.
- **(b) Difference:** Skimming starts high and lowers later. Penetration starts low to capture market share.
- **(c) Pros/Cons:** Pro: High profit margin, recovers R&D. Con: Attracts competitors, low volume initially.

40. Primary Market Methods:

- **Public Issue:** Selling shares to the general public (IPO).
 - **Rights Issue:** Offering shares to existing shareholders first.
 - **Private Placement:** Selling to a select group of investors (not public).
 - **Offer to Employees:** Stock options (ESOPs) given to employees.
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41. Company Features:

- **Separate Legal Entity:** The company is distinct from its owners (can sue/be sued).
 - **Limited Liability:** Shareholders are only liable up to the unpaid amount on their shares.
 - **Transferability:** Shares can be bought and sold freely (in public companies).
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42. Advertising Strategy:

- **Advertising:** Paid, non-personal communication.
 - **Rules:** (1) Aim: Goal (Sales/Awareness). (2) Target: Audience. (3) Media: Platform (TV/Web). (4) Competitors: Their strategy.
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43. Franchising Definition:

A relationship where a Franchisor grants a Franchisee the right to use its brand and system.

- **Advantage Franchisor:** Quick expansion, low capital.
 - **Advantage Franchisee:** Proven business model, brand recognition, training support.
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44. Business Plan Formats:

- **Elevator Pitch:** A 3-minute summary to hook investors.
 - **Pitch Deck:** A slide presentation with an oral narrative.
 - **Written Presentation:** Detailed document for external stakeholders (banks/investors).
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45. Internal vs External Expansion:

- **(a) Internal:** Chai Cart opening its own branches is Internal Expansion.
 - **(b) Difference:** Internal is slow, organic growth using own resources. External (M&A, Franchising) is fast, involving other companies/partners.
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46. Inventory Control (ABC):

- **ABC Analysis:** Dividing inventory into three categories based on value.
 - **A Items:** High value, strict control needed.
 - **B Items:** Moderate value.
 - **C Items:** Low value, loose control.
 - **Use:** To optimize storage and ordering costs.
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47. Working Capital Factors:

- **Nature of Business:** Trading needs less WC than manufacturing.
 - **Scale:** Large scale needs more WC.
 - **Business Cycle:** Boom period needs more WC than depression.
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48. Marketing Mix (4Ps):

- **Product:** Features, quality, branding.
 - **Price:** Skimming/Penetration strategies.
 - **Place:** Distribution channels (Direct/Indirect).
 - **Promotion:** Advertising, Sales Promotion (ATL/BTL).
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49. Environmental Scanning Benefits:

- **First Mover Advantage:** Spotting opportunities early.
 - **Coping with Change:** Adapting to new trends.
 - **Image Building:** Being seen as responsive.
 - **Policy Formulation:** Helping management make decisions.
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50. Sales Strategy:

- **Components:** Positioning, Targeting, Sales Force management.
 - **Difference:** Promotion is about communication (ads); Sales strategy is about the actual closing of the deal and managing the sales team.
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